

SUBVERTICAL LENS

Building billing platforms and meter-asset owners are economically distinct. Billing platforms earn recurring data and compliance fees with moderate reinvestment; meter owners report higher EBITDA but require materially heavier replacement capital and longer payback. [DR pp. 31-37]

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	Building 6% Meter owner 7%	The 6% building-platform estimate is anchored near ista's 5.2% growth and normalizes Techem's stronger result. The 7% meter-owner estimate is deliberately below SMS's 13% ILARR growth because funded rollout and acquisitions inflated reported rates. Source: DR pp. 9, 13, 18, 21, 31-32, 36.	MEDIUM
EBITDA margin	Building 47% Meter owner 60%	The 47% building estimate uses Techem's roughly 48% group-level margin and ista's 40%-plus evidence; Techem's submetering revenue is disclosed separately, so this is a normalized proxy rather than a segment margin. The 60% meter-owner estimate sits between SMS and Calisen. Source: DR pp. 13, 18-22, 31, 33-34, 36.	MEDIUM
Maintenance capex / revenue	Building 9% Meter owner 30%	We model 9% for building platforms to reflect device, battery, communications and IT refresh. We model 30% for meter owners because owned estates require heavy replacement capital; rollout and growth capital are not cleanly separated from sustaining spend. Source: DR pp. 11, 22-23, 31, 33, 36.	MEDIUM-LOW
Customer tenor INITIAL / EFFECTIVE	Building 8 / 14 yrs Meter owner 3 / 13 yrs	These are modeled terms, not disclosed weighted-average cohorts. Building installation and data migration support an 8-year initial and 14-year effective relationship; meter-owner legal forms can be short, while compensation can survive supplier switching for roughly 13 years. Source: DR pp. 31, 33, 35-36.	MEDIUM-LOW
Utilization exposure	Building Low Meter owner Moderate	Building-platform exposure is Low because installed meters continue earning regardless of daily consumption. Meter-owner exposure is Moderate because installation throughput, supplier rollout decisions, meter removals and field-team productivity still matter. Source: DR pp. 32-33, 35-36.	MEDIUM
New-unit / customer payback	Building 4.0 yrs Meter owner 6.0 yrs	The modeled four-year building estimate centers the lower-cost device, billing and data cases. The modeled six-year meter-owner estimate is bounded by disclosed meter capex and annual rent evidence across SMS and Calisen. Source: DR pp. 22-23, 32, 34-36.	MEDIUM-LOW
B2B vs B2C	Building B2B; residential end users Meter owner Predominantly B2B	Building owners and managers contract for submetering even when residents consume the utility and receive bills. Meter owners contract with energy suppliers or retailers, making both archetypes economically B2B. Source: DR pp. 32, 34, 36.	HIGH

SUBSECTOR CATEGORIES			
Building submetering & billing ista / Techem / CARMA		Meter asset ownership Smart Metering Systems / Calisen	Mixed metering & utility services Energy Assets
ista BUILDING SUBMETERING & BILLING		Techem BUILDING SUBMETERING & BILLING	CARMA BUILDING SUBMETERING & BILLING
Evidence. 45 million-plus devices, 14 million-plus units, 460,000-plus customers and EUR1,279 million 2025 sales. [DR pp. 8-11] Business. European platform installing apartment meters and allocators, then providing recurring consumption allocation, billing, data, and sustainability workflows to owners and managers. Economics. Analyst interpretation. Unit: managed dwelling/device footprint. Regulation-shaped demand and dense estates support margin; access, hardware, resident communication, and data migration deter switching.		Evidence. 2025: EUR1,041.5 million submetering revenue; EUR557 million group adjusted EBITDA on EUR1.17 billion group revenue. [DR pp. 12-16] Business. European provider installing apartment devices and monetizing recurring heating/water allocation, billing, data, and digital building services for owners and managers. Economics. Analyst interpretation. Unit: serviced dwelling/device set. Regulation-shaped demand, radio infrastructure, and embedded billing deter switching; field service and procurement remain costs. The benchmark excludes energy contracting.	
Smart Metering Systems METER ASSET OWNERSHIP		Calisen METER ASSET OWNERSHIP	Energy Assets MIXED METERING & UTILITY SERVICES
Evidence. Following SMS's combination with Horizon Energy Infrastructure and Smart Meter Assets, the enlarged group reported 6 million-plus UK meters in 2025. [DR pp. 17-20] Business. UK platform funding, installing, and managing supplier-facing smart meters for recurring rent and data income; batteries and EV-charging are excluded. Economics. Analyst interpretation. Unit: owned contracted meter. Ownership and workflow integration support tenure; rollout and supplier procurement drive growth and service utilization. Hardware-plus-installation makes replacement capital heavy.		Evidence. 2023: 15.2 million meters, GBP293.9 million MAP revenue, GBP265.4 million EBITDA, GBP355.5 million total capex, GBP219 meter capex and GBP23.8 average annual rent per meter. [DR pp. 21-25] Business. UK asset owner funding meters for energy retailers; the benchmark centers on MAP Services and excludes EV charging, heat pumps, and other transition activities. Economics. Analyst interpretation. Unit: owned revenue-generating meter. Policy drives installs; charges can survive supplier switching. Month-to-month legal orders contrast with 10-20-year economics.	
KEY DILIGENCE QUESTIONS		1 Obtain clean metering-segment financials for Energy Assets and CARMA.	2 Separate rollout and acquisition capex from true estate replacement at SMS and Calisen.
			3 Confirm standard contract terms, renewal cohorts and churn for ista and Techem.